IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

IN THE MATTER OF

SUDHARSHAN MAINI PRECISION PRODUCTS PRIVATE LIMITED
(Transferor Company)
AND
ALLTERRAIN SOLUTIONS PRIVATE LIMITED
(Transferee Company)
AND THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

C.P (CAA) No. 79/BB/2017
U/S 230 to 233 of the Companies Act, 2013

Sudharshan Maini Precision Products Private Limited
B165, 3rd Cross,
1st Stage, Peenya Industrial Estate,
Bengaluru-560058 - Petitioner / Transferor Company

And

C.P (CAA) No. 80/BB/2017
U/S 230 to 233 of the Companies Act, 2013

Allterrain Solutions Private Limited
No. 38, Maini Sadan,
7th Cross, Lavelle Road,
Bangalore – 560001 - Petitioner / Transferee Company

Order Delivered on: 04th December 2018

For the Petitioners : 1) Mr. P K Pande & Associates, PCS
2) Mr. Girish Kumar M S, Advocate

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 22.11.2017, 01.12.2017, 05.01.2018, 05.02.2018, 05.03.2018, 02.04.2018, 20.04.2018, 24.4.2018, 10.05.2018, 01.06.2018, 16.07.2018, 07.08.2018, 31.08.2018, 17.09.2018, 20.09.2018, 22.10.2018, and 31.10.2018

COMMON ORDER

1. The Company Petitions were filed on behalf of the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013 praying that the Scheme of

Amalgamation where under the **Sudharshan Maini Precision Products Private Limited** (Petitioner/Transferor Company) is proposed to be amalgamated with **Allterrain Solutions Private Limited** (Petitioner/ Transferee Company) to the Petition be sanctioned by the Tribunal, with or without modifications so as to be binding upon all the Shareholders and Creditors of the Petitioner Companies.

2. The averments made in the Company Petitions are briefly described hereunder:-

A. The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation whereby Sudharshan Maini Precision Products Private Limited (Petitioner/Transferor Company) is proposed to be amalgamated with M/s. Allterrain Solutions Private Limited (Petitioner/Transferee Company).

B. The Petitioner/Transferor Company was incorporated on 21st July, 1998 under the name and style of 'Berger Maini Precision Products Private Limited' under the jurisdiction of the Registrar of Companies, Karnataka. On 04th May 2007, the name of the Company was changed to **'Sudharshan Maini Precision Products Private Limited'** and bears CIN **U28939KA1998PTC023975**. The Registered office of the Petitioner/Transferor Company is at #B165, 3rd Cross, 1st Stage, Peenya Industrial Estate, Bengaluru - 560058.

C. The object of the Petitioner/ Transferor Company as set out in its Memorandum of Association are as follows:

i. To carry on the business of precision mechanical engineers, machinists, fitters, millwrights, founders, wiredrawers, tubemakers, metallurgists, saddlers, galvanizers, japanners, enamellers, electroplaters and painters.

ii. To carry on business as manufacturers, producers, processors, makers, inventors, converters, importers, traders, buyers, sellers, retailers, wholesalers, suppliers, indenters, packers, movers, preserves, stockists, agents, sub-agents, merchants, distributors, consignors, jobbers, brokers, concessionaries or otherwise deal in automobile parts, accessories, ancillaries, stores and spares, industrial, mining, agricultural and other kinds and types of machines and all types of tools, plants, equipments, instruments, appliances and hardware of all kinds and description made of metal, alloy, glass, synthetic and other fibres, chemicals, PVC compounds, plastics and other materials.

iii. To carry on all or any of the business of electrical, mechanical, motor and general engineers, manufacturers and merchants of, agents for and dealers in engineering specialities of every description.

D. The latest authorised share capital as on 31st March, 2016 of the Petitioner/ Transferor Company is Rs.1,20,00,000/- (Rupees One Crore Twenty Lakh only) divided into 12,00,000/- Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner / Transferor Company is Rs. 95,00,000/- (Rupees Ninety Five Lakh only) divided into 9,50,000/- Equity Shares of Rs.10/- each, fully paid up.

E. The Board of Directors of the Petitioner/ Transferor Company passed a resolution on 09th May, 2017 approving and adopting the Scheme of Amalgamation of the Petitioner/ Transferor Company with the Transferee Company, subject to the directions and sanctions of NCLT.

F. The Petitioner/ Transferor Company had filed Company Application No. (CAA) 71/BB/2017 before this Tribunal for dispensation of the meetings of Equity Shareholders and Unsecured Creditors of the Transferor Company. This Tribunal vide its orders dated 29th September, 2017 allowed the Application and dispensed with convening of meeting of Equity Shareholders and Unsecured Creditors of the Transferor Company.

G. The Petitioner/Transferee Company was incorporated on 21st June, 2011 under the name and style of **'Allterrain Solutions Private Limited'** under the jurisdiction of the Registrar of Companies, Karnataka bearing CIN **U29253KA2011PTC059239.** The Registered office of the Petitioner/Transferee Company is at # 38, Maini Sadan, 7th Cross, Lavelle Road, Bangalore – 560001.

H. The object of the Petitioner/ Transferee Company as set out in its Memorandum of Association is as follows:

i. To carry on all the business of Manufacturers, Producers, Exporters of Material Handling Equipments, of all types and in Collaboration with foreign Companies, Manufacturers of hand stackers, Electric platform truck, High lifters, Hydraulic hand pallet truck, Stainless Steel hand pallet truck, Hydraulic motors, Battery charge Motors, Processors for

making, Hydraulic motor drives, D.C. Motors for the drive, moving, trollies, sub-assemblers and assemblers of all kinds of description required by electrical, electronics, automobile or other Industries.

ii. To carry on of or any other business of Manufacturers, Processors, fabricators, Assemblers, Traders, Exporters, Importers, Consignees, Mercantile agents, Brokers, Stockists of and or otherwise deal in any other capacity in material movement equipments of various kinds.

iii. To carry on the business of manufacturers, designers of fabricators of machines, machine parts and components, pattern makers, Wood-workers, biolder makers, Machinists, Iron and Steel Conveners, work shop store-keepers, vulacnisers, builders and or generators and distributors of gas electricity and other form of powers, welders, fitters, Wire drawers, Tool-makers, Galvanisers, Electro-platers, metal workers, Smiths, Briziers, Metallurgists, Plasters, Extruders (of ferrous, non-ferrous chip sheets and extrusions), repairers, mechanics, machine shop keepers, founders, manufacturers of Ferrous and Non-errous castings, Moulders, Spinners, Drawers, Rollers Heat Treatments and surface treatments.

I. The latest authorised share capital of the Petitioner/ Transferee Company is Rs.1,00,000/- (Rupees One Lakh only) divided into 10,000/- Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner/ Transferee Company is Rs. 1,00,000/- (Rupees One Lakh only) divided into 10,000/- Equity Shares of Rs.10/- each, fully paid up. The Copy of Audited Financials of the Petitioner/ Transferee Company as on 31st March, 2016 has been filed with the Petition.

J. The Board of Directors of the Petitioner/ Transferee Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 11th May, 2017.

K. The Petitioner/ Transferee Company had filed Company Application No. (CAA) 70/BB/2017 before this Tribunal for dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company. This Tribunal vide its orders dated 29th September, 2017 allowed the

Application and dispensed with convening of meeting of Equity Shareholders and directed for convening the meeting of Unsecured Creditors of the Petitioner Company.

3. This Tribunal vide order dated 22nd November, 2017 directed the Petitioner/ Transferee Company to issue Notice to the following authorities Income Tax Authorities, the Official Liquidator, the Registrar of Companies and Regional Director and also to have an advertisement of Notice of Petition be carried out in the **'Deccan Chronicle'**, an English daily Newspaper and **'Hosa Digantha'** a Kannada daily Newspaper and stating the next date of hearing was on 05th January, 2018.

4. In pursuant to the same the Petitioner/ Transferee Company has filed an Affidavit of Compliance dated **23rd December, 2017** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in **'Deccan Chronicle'**, an English daily Newspaper and **'Hosa Digantha'** a Kannada daily Newspaper.

5. The Registrar of Companies, Karnataka has filed the observations dated 06th March,2018 making the following observations:

   i) As per the order No. CAA/No.71/BB/2017 dt. 29.09.2017 of the Hon'ble NCLT the transferor company does not have secured creditors, however as per MCA portal two charges were created on 19/10/2000 by the Transferor Company and the present status of the charges is 'open'.
   ii) Transferee Company has not yet filed Annual return and Balance Sheet and financial statements for the year 2016-17
   iii) There are no prosecutions, complaints, technical scrutiny/inspection is pending on the petitioner companies.

6. Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 07th March,2018 making the following observations:

   a. Clause 10.3.1 of the scheme provides that upon clubbing of authorized share capital of the transferor company with the authorised share capital of the transferee company, the filing fee and stamp duty already paid by the transferor company shall be deemed to have been so paid by the transferee company on such

combined share capital and that the transferee company shall not be required to pay any fees/stamp duty on the authorised share capital so increase. This is not tenable in view of the provisions of Sec. 232(3) (i) of the Companies Act, 2013. The transferee company shall pay the fee if any on increase of authorised capital after setting off the fee already paid by the transferor company.

b. Clause 10.4.2.1 states that in the event of there being any pending share transfers, whether lodged or outstanding, of any shareholder of the Transferor company, the Board of Directors of the Transferee company shall be empowered to do so either prior to of even subsequent to the record date. This clause appears to be misleading as there are only 3 shareholders in the transferor company one being the transferee company itself and 2 other shareholders. As the shares held by the transferee company in the transferor company would get cancelled only the remaining two shareholders would become the shareholders of the transferee company. Thus, this clause may require deletion.

c. Clause 11.1 of the Scheme provides for the accounting treatment in the scheme. It is stated that the fair value of assets and liabilities shall be determined as on the appointed date, but the details of such fair value of assets and liabilities is not submitted. Query in respect of this was raised vide Directorate's letter dated 14.12.2017, but the same has not been submitted by the petitioner company.

7. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No. 196/2017 dated 07th December, 2017 making the following requests:

1) That the Official Liquidator may be permitted to appoint a Chartered Accountant from the panel approved by the Hon'ble High Court of Karnataka for scrutiny of the books of account and records of Transferor Company and to submit reports on the affairs of the Company.
2) That the Petitioner Company may be directed to pay the professional fees of the Chartered Accountant as may be mutually agreed and that in case the Chartered Accountant charges exorbitant fee which is not acceptable to the Transferor Company, the Official Liquidator shall appoint other Chartered Accountant by cancelling the appointment of the Chartered Accountant.

9. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No. 63/2018 dated 23rd April, 2018 making the following submissions:

(1) That Ramraj & Co., Chartered Accountants were appointed to scrutinise the books of account and records of the Transferor Company and submit their report,

enabling the Official Liquidator to submit his report under Section 230-232 of the Companies Act, 2013.

(2) That upon scrutiny of the books and record and other material made available by the Transferor Company, Ramraj & Co., Chartered Accountants have submitted report dated 08.01.2018 with the Official Liquidator as under-

i) The Transferor Company had sanctioned loan to related party amounting to Rs.1,94,00,000/-. On review of the Loan agreement between the M/s Sudarshan Maini Precision Products Private Limited and M/s. All Terrain Solutions Private Limited dated 28.09.2015 and the Board Minutes dated 07th January 2015, it was observed that the loan was interest free and unsecured.

ii) As per the Independent Auditor Report as stated in Para 5.8, there are different observations for different years on the loans given to related party such as:

For the Year 2012-13

"The company has granted unsecured loans, to a company, listed in the register under Section 301 of the Companies Act, 1956. The maximum amount involved during the year was Rs.194 lakhs and the year end balance of the loan taken from such parties was Rs.194 lakhs.

In our opinion, the Rate of Interest and other terms and conditions on which loan have been granted to other parties listed in the register maintained under Section 301 of the Companies Act, 1956, are prima facie prejudicial to the interest of the Company.

There is no stipulation by the Company in recovery of the Principal amounts as well as the interest wherever applicable."

For the Year 2013-14

"The company has granted unsecured loans, to a company, listed in the register under Section 301 of the Companies Act, 1956. The maximum amount involved during the year was Rs.194 lakhs and the year end balance of the loan taken from such parties was Rs. 194 lakhs.

In our opinion, the Rate of Interest and other terms and conditions on which loan have been granted to other parties listed in the register maintained under Section 301 of the Companies Act, 1956, are prima facie prejudicial to the interest of the Company.

There is no stipulation by the Company in recovery of the Principal amounts as well as the interest wherever applicable."

iii) We are unable to ascertain the reasons for divergent opinion given on the Financial Statements by the Independent Auditor for the above referred Financial Years.

iv) Though the inter-corporate loan balances are persisting the Independent Auditors have not made adverse observation on the same in their reports for the year 2014-15, 2015-16, and 2016-17.

v) According to Section 186(7) of the Companies Act, 2013, no loan shall be given under Section 186 at a rate of interest lower than the prevailing yield of one year, three years, five years or ten year Government Security closest to the tenor of the loan.

vi) On verification of the Financial Statements, Books of Accounts and the Loan agreement, it is evident that the loans given to the related party do not bear any interest, which in our opinion is not in accordance with provisions of Companies Act, 2013 and prejudicial to the interest of the Company to that extent.

vii) In view of the above, in our opinion, subject to the above, the affairs of the company have not been conducted in a manner prejudicial to the interest of the Members of the company or public interest

(3) That the application may be disposed off on its own merit after clarifying the stand of the transferor company based on the above stated report and thereafter hearing the objections if any by other sectoral regulator and the Transferor Company may be dissolved without winding up.

8. The Authorized Signatory of the Transferor Company has filed a Reply Affidavit dated **09th August, 2018** in furnishing response to the Observations raised by Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies, Registrar of Companies, Karnataka, and Official Liquidator which are as follows:

- Reply to Regional Director, Ministry of Corporate Affairs-

i. With reference to Observation No.1 of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by

Registrar of Companies, the transferee company shall abide by the latest rules.

ii. With reference to Observation No.2 of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies, only two (2) shareholders will become shareholders of the Transferee Company.

iii. With reference to Observation No.3 of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies, the Companies are not doing business for a long time. They are in the dormant status. Therefore, the position of assets and liabilities are same as on date and also on the date on which valuation report was made viz., March 15, 2017. Therefore the value of assets and liabilities are same as on the appointed date and March 15, 2017. The CA has reiterated by certifying it.

- Reply to Registrar of Companies, Karnataka-

i. With reference to Observation No.1 of the Registrar of Companies, Karnataka, the two charges were 'satisfied' on May 10, 2018 as per the Memorandums of Satisfaction of Charge (two numbers) attached to the said reply.

ii. With reference to Observation No.2 of the Registrar of Companies, Karnataka, the Transferee Company has filed Annual Return for the year 2017 vide e-form MGT-7 vide SRN G79140315 on 13.03.2018 and Balance Sheets and financial statements vide e-form AoC-4 vide SRN G79115119 on 12.03.2018, copy of which is attached to the reply.

- Reply to the Official Liquidator-

i. The penultimate paragraph of page no 10 of the report of the CA appointed by OL's office reads as under:

"In our opinion, the Rate of Interest and other terms and conditions on which loan have been granted to other parties listed in the register

maintained under Section 301 of the Companies Act, 1956, are prima facie **not** prejudicial to the interest of the Company."

It was observed that there was a typing error in the OL's Report wherein the word 'not' has been omitted.

ii. The transaction in question was taken place according to the provisions of 1956 Act, wherein there was no stipulation of interest cost for this kind of transaction between holding and subsidiary companies. The OL's report is referring the provisions of the Companies Act, 2013 which is not correct.

iii. There is a holding and subsidiary relationship between the transferor and transferee companies.

4. On 07.09.2018, the Director of the Transferor Company filed an Affidavit along with consent letters of the Shareholders and a CA Certificate stating that there are no Secured, Unsecured or Trade Creditors as on 07.09.2018 except for the audit fee of Rs.44,480/- which would be settled post amalgamation.

5. On 25.10.2018, the PCS/Advocate for the Petitioner filed a Memo detailing the reply to the Objections raised by the Regional Director, Ministry of Corporate Affairs stating as follows:

i) With reference to Observation No.1 of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies, the client was apprised that "no shares will be allotted to this shareholder as it is the Transferee Company and the principle is 'a company cannot hold its own shares'. In this case it (All Terrain Solutions Private Limited) is the Transferee Company that is shareholder and it cannot hold its own shares in its name or in the name of any of its Trust, subsidiary, associate or on its behalf. All such shares (9,31,000) shall be cancelled or extinguished on the amalgamation". The clients understood and legal proposition and gave their consent to abide by the provisions of law and the rules made thereunder. They accepted and stated that they do not have claim on these 9,31,000 shares. Therefore, there is no dispute from clients on this point.

ii) With reference to Observation No.2 of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of

Companies, the clients were apprised that "in view of the legal position explained in point no. 1 above, the Transferee Company will have only two shareholders (natural persons) viz., Sri Sandeep Kumar Maini and Sri Gautam Maini, but not the artificial/legal person namely All Terrain Solutions Private Limited post amalgamation." The clients accepted the legal position of the Companies and their shareholders and gave instructions to the PCS/Advocate accordingly. Therefore, there is no dispute from the side of the clients to delete this clause from the scheme of Amalgamation.

iii) With reference to Observation No.3 of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies, the CA who issued the valuation certificate and worked out the share swapping ration, again issued a certificate dated May 12, 2018 reiterating that the transferor company did not do any business for the past 10 years, not added any assets nor created any liabilities and therefore, there is no change in valuation. Transferee Company also did not do any business and added any assets nor created any liabilities and, therefore, there is no change in the valuation. Transferee Company also did not do any business and added any assets and liabilities and therefore, he certified on May 12, 2018 that "the valuation certificate made by me on March 15, 2017 holds good for the appointed also viz., April 01, 2016.

6. The copy of Accounting Treatment Certificate dated 13th September, 2017 of the Auditor which is given in the Petition states that "based on our examination and according to information and explanations given to us, we confirm that the accounting treatment specified in the Point No. 11 (Part IV) of the Scheme of Amalgamation in the books of Transferee Company is in compliance with applicable accounting standard under section 133 of the Companies Act, 2013 and other generally accepted accounting principles and circulars issued there-under and all applicable accounting standards notified by the Central Government under Companies Act, 2013".

7. The copy of Certificate of Share Evaluation to decide the SWAP ratio of Transferee Company and Transferor Company dated 15.03.2017 has also been submitted as a part of the Petition.

8. After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER as follows:

a) Clause 10.4.2.1 of the Scheme is deleted as the shares held by the Transferee Company in the Transferor Company would get cancelled and only the remaining two shareholders would become the shareholders of the Transferee Company, as the same has been accepted by the authorised signatory of the Transferor Company vide Affidavit dated 09th August 2018.

b) While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

c) The Whole of the property, rights and powers of Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

d) All liabilities including taxes and charges, if any and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company without in any way obstructing compliance of depositing outstanding tax dues, if any; and

e) While approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law; and

f) All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Transferee Company; and

g) All employees of the Transferor Company will become employees of the Petitioner/Transferee Company without any break or interruption of service.

h) The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

i) The Petitioner Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

j) **This is subject to compliance by the Petitioner Companies of the following prior to implementation of the Scheme**:

   a. Compliance under law relating to related party transactions including Section 2(76) and Section 188 of Companies Act, 2013 and relevant rules, notifications and circulars and the Petitioner Companies are directed to compound the offence.

   b. Provide Chartered Accountant certificate to the Registrar of Companies providing the relevant details and the date on which the charges created on 19.10.2000 by the Transferor Company were satisfied.

   c. File the Annual returns, Balance Sheet and financial statements for the year 2016-17 and furnish proof of the same to the satisfaction of the Registrar of Companies.

k) **The Registrar of Companies, Karnataka is to ensure compliance of the above before registration.**

l) The Appointed Date will be **15th March, 2017** as per the Valuation Report as the position of assets and liabilities has been certified as on that day.

m) The Petitioner Company should ensure compliance of its affidavit dated 09th August, 2018.

n) The Registrar of Companies, Karnataka shall ensure that the stamp duty as fixed by the Inspector General of Registration and Commissioner of Stamps is paid within stipulated time under relevant provisions of law; and

o) The Registrar of Companies should oversee the compliances before finally accepting the Scheme.

p) The Transferor Company or its authorised signatory is directed that after the completion of the process of amalgamation to handover the possession of the books of accounts and other relevant documents to the Transferee Company for the purpose of Section 239 of the Companies Act, 2013.

q) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

pv